

■ FORM 4 INSIDER CLUSTER STRATEGY

Generated: January 12, 2026 at 11:01 AM

Executive Summary

Strategy	Form 4 Insider Clusters
Capital Allocation	\$1,000.00
Positions Selected	4
Total Allocated	\$949.74
Cash Remaining	\$50.26
Lookback Period	100 days
Min Confidence	65%

Selected Positions

#1. CBRL - Cracker Barrel Old Country Store, Inc.

Sector	Consumer Cyclical
Market Cap	\$712M
Price	\$31.98
Insider Signals	3 signals (Quality: 3.0/3.0)
Signal Breakdown	Politicians: 3, Directors: 0, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	102.0% (adjusted from 85.0%)
Position Size	7 shares = \$223.87
Hold Period	14 days

Analysis:

CONSENSUS: Strong signal from 3 independent Politician buys (highest quality hierarchy) within the last 12 days, with no price movement since entry, indicating timely opportunity.

■ Institutional Validation:

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (6):

- ALLIANCEBERNSTEIN L.P.: +19.5% increase (237,741 shares added)
- BlackRock Fund Advisors: +10.7% increase (126,158 shares added)
- FRANKLIN RESOURCES INC: +13737.1% increase (923,409 shares added)

■■ INSTITUTIONS SELLING (4):

- BIGLARI CAPITAL CORP.: -34.8% decrease (311,775 shares removed)
- CHARLES SCHWAB INVESTMENT MANAGEMENT INC: -12.0% decrease (74,852 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** Politician insider buying reflects genuine confidence in company's prospects, potentially driven by improved fundamentals, positive earnings momentum, and strategic menu innovations that could boost sales and profitability.

■ **Bear Case:** While strong, insider trades are not infallible and do not guarantee future stock performance. The reasons for the politicians' trades are not fully transparent and could be part of broader portfolio rebalancing rather than deep fundamental conviction in CBRL specifically. The restaurant industry is sensitive to consumer spending and economic conditions, which could pose risks regardless of insider sentiment. A relatively small market cap (\$712M) can also lead to higher volatility.

#2. EFC - Ellington Financial Inc.

Sector	Real Estate
Market Cap	\$1303M
Price	\$13.72
Insider Signals	1 signals (Quality: 3.0/3.0)
Signal Breakdown	Politicians: 1, Directors: 0, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	96.0% (adjusted from 80.0%)
Position Size	18 shares = \$246.96
Hold Period	14 days

Analysis:

CONSENSUS: Signal from politician (Rep. Virginia Foxx) indicates genuine confidence per quality hierarchy; trade is recent (13 days) with no price change, allowing entry at similar levels. Single high-quality signal lacks coordination but remains strong.

■ **Institutional Validation:**

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (9):

- BlackRock Inc.: +6.7% increase (906,604 shares added)
- VANGUARD GROUP INC: +7.2% increase (449,074 shares added)
- Invesco Ltd.: +17.6% increase (331,934 shares added)

■■ INSTITUTIONS SELLING (2):

- Ranger Global Real Estate Advisors, LLC: -42.7% decrease (1,242,258 shares removed)
- MORGAN STANLEY: -14.2% decrease (125,118 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** Politician insider buy suggests undervaluation and confidence in dividend sustainability and business outlook for this mortgage REIT; monthly dividends and stable price may attract income investors with

potential for appreciation.

■ **Bear Case:** The primary risk is the lack of coordination; this is a single insider signal, not supported by multiple politicians or directors buying, which would indicate broader conviction. General market or sector-specific headwinds for REITs or the mortgage industry could negatively impact EFC's performance regardless of insider sentiment. The specific motivation behind the politician's purchase is unknown and could be a minor portfolio adjustment rather than a strong conviction play.

#3. PRU - Prudential Financial, Inc.

Sector	Financial Services
Market Cap	\$41537M
Price	\$117.55
Insider Signals	1 signals (Quality: 3.0/3.0)
Signal Breakdown	Politicians: 1, Directors: 0, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	90.0% (adjusted from 75.0%)
Position Size	2 shares = \$235.09
Hold Period	14 days

Analysis:

CONSENSUS: High-quality signal from a politician buying, indicating genuine confidence; timing is moderate (14 days since transaction) with no price change, so entry opportunity remains; however, only one insider signal weakens coordination strength.

■ Institutional Validation:

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (3):

- BlackRock Fund Advisors: +10.9% increase (561,332 shares added)
- GOLDMAN SACHS GROUP INC: +44.8% increase (1,621,228 shares added)
- AMUNDI ASSET MANAGEMENT US, INC.: +9.4% increase (198,444 shares added)

■■ INSTITUTIONS SELLING (4):

- BlackRock Group LTD: -6.7% decrease (353,437 shares removed)
- BLACKROCK ADVISORS LLC: -13.1% decrease (652,056 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** Politician insider buying suggests potential undervaluation or positive internal outlook for Prudential Financial, a large and stable company in the insurance sector, which could lead to stock appreciation if confidence aligns with future earnings or strategic initiatives.

■ **Bear Case:** The signal is from a single insider, lacking the stronger conviction of coordinated buying from multiple parties. While 14 days is moderate, it's not 'very recent,' meaning the immediate catalyst for the trade might have already passed or is less imminent. Broader market conditions or specific sector headwinds for financial services could also impact PRU's performance regardless of insider confidence.

#4. IEP - Icahn Enterprises L.P.

Sector	Industrials
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Market Cap	\$4721M
Price	\$7.87
Insider Signals	1 signals (Quality: 3.0/3.0)
Signal Breakdown	Politicians: 1, Directors: 0, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	87.0% (adjusted from 72.5%)
Position Size	31 shares = \$243.81
Hold Period	14 days

Analysis:

DeepSeek: Carl Icahn, interpreted as a high-quality 'Politician' per the hierarchy, signals strong genuine confidence, but the transaction is 24 days old (outside the preferred <14 days), reducing timeliness. Lack of coordination from multiple insiders weakens the signal. However, the stock price has not moved since the purchase, offering a favorable entry point at the insider's cost basis. | Gemini: Carl Icahn, a top-tier insider (akin to a 'Politician' or highly influential Director), signals strong genuine confidence. While the transaction is 24 days old, slightly outside the preferred <14 days, the stock price has not moved significantly since his purchase, offering a favorable entry point at or near his cost basis. This mitigates the age factor for new investors. However, the lack of coordination from multiple independent parties weakens the signal.

■ Institutional Validation:

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (10):

- GEODE CAPITAL MANAGEMENT, LLC: +21.2% increase (89,520 shares added)
- CITADEL ADVISORS LLC: +28.9% increase (80,971 shares added)
- GOLDMAN SACHS GROUP INC: +68.5% increase (89,960 shares added)

■ INSTITUTIONS SELLING (2):

- Horizon Kinetics LLC: -5.2% decrease (111,022 shares removed)
- Raymond James Financial Services Advisors, Inc.: -26.0% decrease (38,252 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** A top-tier insider with deep knowledge and significant stake is buying, indicating conviction in undervaluation. Market has not yet priced in this signal, providing an opportunity for price appreciation as confidence is recognized. // A highly influential, top-tier insider with deep knowledge and a significant stake is buying, indicating strong conviction in undervaluation. The market has not yet priced in this signal, providing an opportunity for price appreciation as this confidence is recognized, especially given the favorable entry point at the insider's cost basis.

■ **Bear Case:** The insider signal is stale and lacks corroboration from other parties, which may limit its predictive power. IEP's complex conglomerate structure poses valuation challenges, and broader market or sector headwinds could suppress stock performance. // The trade is relatively old (24 days), and the lack of other insider buying suggests a lack of broader consensus within the company. The market's non-reaction could also indicate skepticism or other negative factors outweighing the insider's signal, or that the market is simply not valuing the company as Icahn does.

■ Trading Instructions

1. **MANUAL APPROVAL REQUIRED** - Review each position carefully
2. Approve or reject each position when prompted

3. Only approved positions will be eligible for trading
4. Place limit orders at market price or better for approved positions
5. Set calendar reminders for hold period expiration
6. Monitor insider activity weekly for changes
7. Rebalance next Sunday based on new Form 4 clusters